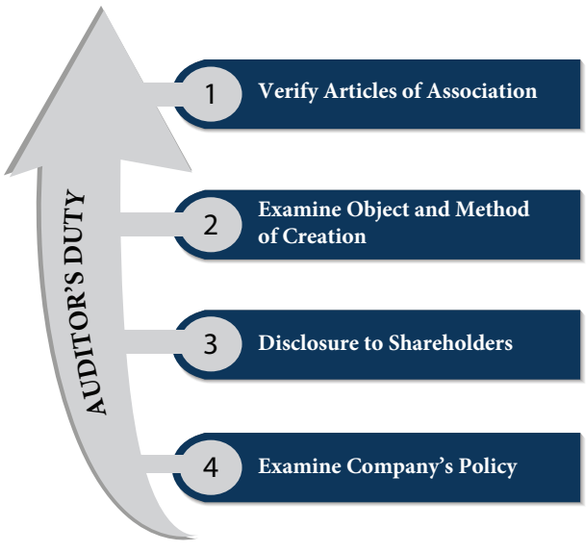
object and method of creating a secret reserve if he is fully satisfied, he should disclose the facts in his report.

3. **Disclosure to Shareholders:** It is the duty of the auditor to disclose the fact to the shareholders that secret reserve has been created. If he fails to do so, he will certify a false statement which will not exhibit a true and fair view of the state of affairs of the company.
4. **Examine Company's Policy:** When secret reserve is created by undervaluing the assets or overvaluing the liabilities, the auditor should make a detailed enquiry with the directors and examine the company's policy.

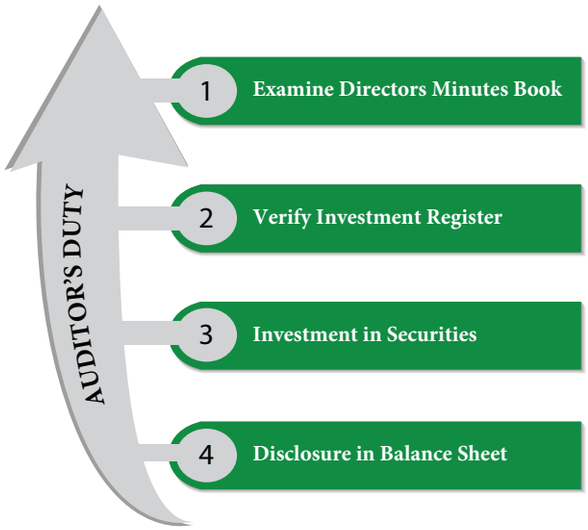


5. RESERVE FUND

It is a reserve created out of the surplus of the company and is invested in outside securities. It is similar to general reserve, which is created out of surplus but is retained in the business. In other words, reserve fund is appropriations of profits which is invested in safe securities and are easily realizable.

AUDITOR'S DUTY

1. **Examine Directors meeting Minutes Book:** Auditor should examine the Minutes of Board of Directors meeting to verify that all investments are made with the consent of the Board.
2. **Verify Investment Register:** The auditor should physically verify the securities with the Investment Register.
3. **Investment in Securities:** The auditor should ensure that the reserve fund is invested in easily realizable securities.
4. **Disclosure in Balance Sheet:** He should verify that the reserve fund is shown distinctly on the liabilities side of the Balance Sheet.



6. SINKING FUND

The fund which is created to have a certain sum of money accumulated for a future date by setting aside a certain sum of money every year is called as Sinking Fund. It is defined as, "a form of specific reserve set aside for redemption of a long debt or replacement of a wasting or a depreciable asset".



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